



**BUSINESS
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COLLEGE PAYROLL ACCOUNTING (130)

—Post-secondary—

STATE – 2020

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer Questions: Calculations _____ (36 points)

Problem Section:

Problem 1: Form 940 _____ (28 points)

Problem 2: Payroll Register _____ (57 points)

Problem 3: Payroll Register & Journal Entries _____ (71 points)

TOTAL POINTS _____ (***232 points***)

**Graders: Please double check and verify
all scores and answer keys!**

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Calculate all calculations to four (4) decimals, then round to the nearest cent.
- 2019 Payroll Tax Rules Apply
- Social Security (OASDI): 6.2% on the first \$132,900
- Medicare (HI): 1.45%
- FUTA: .6% on first \$7,000 of employee wages
- SUTA: Information is in each question

Multiple Choice: (40 points, 2 each)

- | | |
|-------|-------|
| 1. A | 11. C |
| 2. D | 12. B |
| 3. B | 13. D |
| 4. E | 14. C |
| 5. C | 15. D |
| 6. D | 16. C |
| 7. A | 17. B |
| 8. D | 18. C |
| 9. B | 19. A |
| 10. B | 20. C |

SHORT ANSWER QUESTIONS: (36 points)**1. (4 points each)**

Monthly	Semi-monthly	Bi-weekly	Weekly	Hourly Rate	Overtime Rate
\$6,101.25	\$3,050.63	\$2,815.96	\$1,407.98	\$35.20	\$52.80

2. (2 points each)

Regular Earnings	\$690.00
Holiday Earnings	\$138.00
Overtime Earnings	\$58.23
Total Earnings	\$886.23

3. (8 points)

$$\$(360 + 10.13 + 9.67) = 379.80$$

4. (3 points each)

Regular Wages	\$ 685.00
Sales Subject to Commission	\$ 367.00
Commission Earnings	\$ 16.89
Total Earnings	\$ 701.89

Problems:

1. (28 points, 2 points each blank)

- 1. Employer ID # 12-3456789**
- 2. Name – Monument City Tour Company**
- 3. Address – 555 President Street**
- 4. City – Baltimore**
- 5. State – MD**
- 6. Zip – 11111**
- 7. Line 1a – M D**
- 8. Line 3 – 306,679.06**
- 9. Line 5 – 271,679.06**
- 10. Line 6 – 271,679.06**
- 11. Line 7 – 35,000**
- 12. Line 8 – 210**
- 13. Line 12 – 210**
- 14. Line 14 - 210**

PROBLEMS:**2. (57 points, 1 each)**

Complete the following Payroll Register for Smithsonian Corporation. All employees are paid by the hour, assume all employees are Single, have 0 withholding allowances, and are paid weekly. **Use the provided withholding tables to find the FIT withholding.**

Payroll Register											
NAME	Reg.	Reg.	OT	OT	Total			Deductions			Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	FIT	Pre-tax Group Ins.	401K	
Harry	39	12.56		18.84	489.84	30.37	7.10	46.00			406.37
Franklin	37	13.24		19.86	489.88	30.37	7.10	43.00	15.00	15.00	379.41
Herbert	35.75	11.80		17.70	421.85	26.15	6.12	38.00			351.58
Dwight	40	11.67	2.25	17.51	506.20	31.38	7.34	40.00	15.00	55.00	357.48
Lyndon	38.5	10.42		15.63	401.17	24.87	5.82	34.00	15.00		321.48
George	40	9.25	1.75	13.88	394.29	24.45	5.72	31.00	15.00	20.00	298.12
Jimmy	32.25	9.88		14.82	318.63	19.76	4.62	26.00			268.25
Ronald	34	10.35		15.53	351.90	21.82	5.10	27.00		15.00	282.98
TOTALS	296.50	XXX	4	XXX	3,373.76	209.17	48.92	285.00	60.0	105.00	2,665.67

3. (71 points, 1 each payroll register; 2 points each on journal entries)

Complete and total the Payroll Register and journalize the payroll and employer's taxes using Freedom Bell's Payroll Register below. This is the first payroll of the year. All employees are paid by the hour weekly. The pay period ends on 1/4/18 and the pay date is 1/11/18. The SUTA rate is 3.65%.

Use the provided withholding tables to find the FIT withholding.

Payroll Register												
NAME	Reg.	Reg.	OT	OT	Total	Deductions						Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	Allowances	FIT	Post-tax Group Ins.	401K	
Barbara	39	12.62		18.93	492.18	30.52	7.14	S/2	25.00	12.00	15.00	402.52
Hillary	40	11.85		17.78	474.00	29.39	6.87	S/3	12.00	12.00	45.00	368.74
Michelle	40	12.25	5	18.38	581.90	36.08	8.44	S/4	16.00	12.00	25.00	484.38
TOTALS	119	XXX	5	XXX	1,548.08	95.99	22.45	XXX	53.00	36.00	85.00	1,255.64

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DATE	ACCOUNT DESCRIPTION	DEBIT	CREDIT
Jan 11, 2018	Wages Expense	1,548.08	
	OASDI Payable		95.99
	HI Payable		22.45
	FIT Payable		53.00
	Insurance Payable		36.00
	401(K) Payable		85.00
	Cash		1,255.64
Jan 11, 2018	Payroll Tax Expense	184.23	
	OASDI Payable		95.99
	HI Payable		22.45
	FUTA Payable		9.29
	SUTA Payable		56.50